BUSINESS PRACTICE AND MANAGEMENT

Unit-I: Concepts of Business

Comprehensive Study Notes

UNIT-I: CONCEPTS OF BUSINESS

1.1 What is Business?

Business refers to all economic activities concerned with the production and exchange of goods and services with the objective of earning profit.

Definition:

- "Business is an economic activity directed towards the acquisition and distribution of goods and services with the object of earning profit." — **L.H. Haney**

Characteristics of Business:

Characteristic	Description
Economic Activity	All activities are aimed at earning a livelihood, not for personal consumption
Profit Motive	The primary objective is to earn profit; without profit, a business cannot survive
Risk and Uncertainty	Business involves risk of loss due to changing market conditions, competition, etc.
Continuity	Business is a continuous process; a single transaction does not constitute business
Legal Activity	Business must operate within legal framework; illegal activities are not business
Customer Satisfaction	Business exists to satisfy customer needs and wants
Deals in Goods and Services	Business involves production and exchange of goods and services
Social Responsibility	Business has responsibilities towards society, employees, and environment

1.2 Objectives of Business

Economic Objectives:

Objective	Description
Profit Maximization	Primary objective of any business
Survival	Long-term existence in competitive market
Growth	Expansion and diversification
Market Share	Increasing share in the market

Social Objectives:

Objective	Description
Employment Generation	Providing jobs to people
Quality Products	Providing good quality products at fair prices
Fair Wages	Paying fair wages to employees
Environment Protection	Minimizing pollution and protecting environment
Community Development	Contributing to local community development

1.3 Commerce

Commerce is the branch of business that deals with the **distribution** of goods and services from producers to consumers. It removes the barriers between producers and consumers.

Barriers Removed by Commerce:

Barrier	How Commerce Removes It
Place Barrier	Through transport
Time Barrier	Through warehousing
Risk Barrier	Through insurance
Finance Barrier	Through banking
Knowledge Barrier	Through advertising

Components of Commerce:

Component	Description	Examples
Trade	Buying and selling of goods	Wholesale, Retail, Import, Export
Transport	Movement of goods	Road, Rail, Air, Water Transport
Banking	Financial services	Loans, Deposits, Payments
Insurance	Risk protection	Life, Fire, Marine, Motor Insurance
Warehousing	Storage of goods	Godowns, Cold storages
Advertising	Promotion of goods	TV Ads, Internet Ads, Billboards
Communication	Exchange of information	Telephone, Internet, Postal

1.4 Industry

Industry is the branch of business that deals with the **production** of goods and services. It converts raw materials into finished products.

Definition:

- "Industry is that part of business activity which is concerned with the extraction, production, or fabrication of goods." — **Wheeler**

Classification of Industries:

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|   PRIMARY INDUSTRIES           |  |   SECONDARY INDUSTRIES     |
|   (Extractive Industries)      |  |   (Manufacturing)         |
+--------------------------------+  +----------------------------+
  +------------------------+        +------------------------+
  | Agricultural Industry |         | Textile Industry      |
  | (Farming, Fishing,    |         | Automobile Industry   |
  |  Forestry, Dairy)     |         | Electronics Industry  |
  |                       |         | Chemical Industry     |
  | Extractive Industry   |         | Food Processing       |
  | (Mining, Oil, Gas)    |         | Construction Industry |
  +------------------------+        +------------------------+
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Detailed Classification:

Type	Description	Examples
Primary Industry	Extracts and produces natural resources	Agriculture, Mining, Forestry, Fishing
Secondary Industry	Converts raw materials into finished goods	Manufacturing, Construction
Tertiary Industry	Provides services to people and businesses	Banking, Insurance, Transport, Tourism

1.5 Difference between Commerce and Industry

Feature	Commerce	Industry
Nature	Distribution of goods	Production of goods
Deals with	Finished goods	Raw materials and finished goods
Objective	To create place utility	To create form utility
Activities	Trade, Transport, Banking, Insurance	Manufacturing, Extraction, Construction
Risk	Less risk compared to industry	Higher risk due to investment in machinery
Capital	Less capital required	More capital required
Skill	More managerial skills	More technical skills
Example	Retail store, Wholesaler, Bank	Factory, Mine, Construction company

Interrelationship: Industry and Commerce are interdependent:

- Industry produces goods → Commerce distributes them
- Commerce provides raw materials → Industry processes them
- Commerce provides finance → Industry purchases machinery
- Commerce provides transport → Industry ships products

2.1 What is Business Environment?

Business Environment refers to all external and internal factors that affect the functioning of a business organization. It includes all forces, institutions, and conditions outside the business that have an impact on its performance.

Definition:

- "Business environment is the sum total of all conditions and influences that affect the operations of a business." — **Keith Davis**

Need for Studying Business Environment:

Reason	Description
Decision Making	Helps managers make better decisions
Planning	Essential for effective planning
Adaptation	Helps adapt to changing conditions
Opportunity Identification	Identifies new opportunities
Threat Identification	Identifies potential threats
Resource Allocation	Helps allocate resources effectively

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|      MICRO        |  |      MACRO        |  |     INTERNAL      |
|   ENVIRONMENT     |  |   ENVIRONMENT     |  |   ENVIRONMENT     |
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2.2 Internal Environment

The **Internal Environment** consists of factors within the business that can be controlled by management.

Factor	Description
Value System	Beliefs and ethics of the organization
Vision and Mission	Long-term goals and purpose
Organizational Structure	Hierarchy and reporting relationships
Corporate Culture	Shared values and beliefs
Human Resources	Employees, their skills, and attitudes
Financial Resources	Capital, cash flow, investments
Physical Resources	Machinery, buildings, technology
R&D Capability	Research and development capacity
Marketing Capability	Brand, distribution, sales force

2.3 Micro Environment (Immediate Environment)

The **Micro Environment** consists of factors close to the business that directly affect its operations. These factors are partially controllable.

Factor	Description	Impact
Customers	Individuals who buy products	Directly affects sales and revenue
Suppliers	Provide raw materials	Affects production and cost
Competitors	Rival businesses	Affects market share and pricing
Intermediaries	Distribution channels	Affects reach and availability
Public	Any group with interest	Affects reputation and image
Market	Consumer preferences	Affects product development

Detailed Analysis:

Factor	Key Considerations
Customers	Needs, preferences, buying behavior, satisfaction
Suppliers	Reliability, quality, price, delivery time
Competitors	Strategies, strengths, weaknesses, market share
Intermediaries	Wholesalers, retailers, distributors, agents
Public	Media, local community, government agencies

2.4 Macro Environment (General Environment)

The **Macro Environment** consists of broader factors that affect all businesses indirectly. These factors are largely uncontrollable.

PESTLE Framework:

Factor	Description	Examples
Political	Government policies, political stability	Tax policies, Trade tariffs, Political instability
Economic	Economic conditions and trends	Inflation, Interest rates, GDP growth, Employment
Social	Societal and cultural trends	Demographics, Lifestyle changes, Education levels
Technological	Technology and innovation	Automation, Digitalization, R&D advances
Legal	Laws and regulations	Labor laws, Consumer protection, Environmental laws
Environmental	Natural and ecological factors	Climate change, Natural resources, Pollution

Detailed PESTLE Analysis:

Factor	Key Elements
Political	Government stability, Foreign trade policy, Taxation policy, Industrial policy
Economic	GDP growth rate, Inflation rate, Interest rates, Exchange rates, Income distribution
Social	Population growth, Age distribution, Education levels, Cultural values, Lifestyle changes

Technological	New innovations, Automation, Digital transformation, R&D spending
Legal	Employment laws, Consumer protection, Antitrust laws, Health and safety
Environmental	Climate change, Natural disasters, Sustainability practices, Pollution control

2.5 SWOT Analysis

SWOT Analysis is a strategic planning tool that helps businesses identify their:

Component	Description
Strengths	Internal positive factors
Weaknesses	Internal negative factors
Opportunities	External positive factors
Threats	External negative factors

3.1 What is a Business System?

A **Business System** is a set of interconnected and interdependent elements that work together to achieve business objectives. It is an organized way of doing business.

3.2 Components of a Business System

Component	Description
Input	Resources needed: Men, Money, Materials, Machines, Methods
Process	Transformation activities: Production, Marketing, Finance, HR
Output	Final products or services: Goods, Services, Profits
Feedback	Information about performance: Sales reports, Profit reports
Environment	External factors: Customers, Competitors, Government

Types of Systems:

Type	Description
Open System	Interacts with the environment
Closed System	Does not interact with the environment
Sub-system	A smaller system within a larger system

4.1 Sole Proprietorship

Definition: A business owned and managed by a single person. It is the simplest and oldest form of business organization.

Features:

Feature	Description
Single Ownership	Owned by one person
No Separate Entity	Business and owner are one
Unlimited Liability	Owner is personally liable for all debts
Full Control	Owner makes all decisions
All Profits	Owner keeps all profits
Easy Formation	Very easy to start and close

Advantages:

Advantage	Description
Easy to Start	Minimum legal formalities
Direct Control	Full decision-making power
Quick Decisions	No consultation needed
Personal Touch	Direct customer contact
All Profits	Owner gets all profits
Secrecy	Business secrets can be maintained

Disadvantages:

Disadvantage	Description

Unlimited Liability	Personal assets at risk
Limited Capital	Limited funds
Limited Expertise	Single person's knowledge
Limited Life	Business ends with owner
High Risk	All risk on one person

4.2 Partnership

Definition: A business owned by two or more persons who share profits and losses according to a partnership agreement.

Indian Partnership Act, 1932: "Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

Types of Partnerships:

Type	Description
General Partnership	All partners manage business, have unlimited liability
Limited Partnership	One general partner, others have limited liability
Partnership at Will	No fixed duration, can be dissolved anytime
Particular Partnership	For a specific venture or project

Advantages:

Advantage	Description
More Capital	Multiple partners contribute
Shared Expertise	Different skills and knowledge
Shared Risk	Risk divided among partners
Ease of Formation	Relatively easy to start
Flexibility	Easier to adapt to changes

Disadvantages:

Disadvantage	Description
Unlimited Liability	General partners have unlimited liability
Disagreements	Conflicts between partners

Limited Life	Dissolution on partner's death/insanity
No Separate Entity	Not recognized as separate legal entity
Limited Capital	Still limited compared to companies

Partnership Deed: A written agreement containing:

- Name and address of business
- Name and address of partners
- Capital contribution of each partner
- Profit sharing ratio
- Duties and responsibilities
- Rules for dissolution

4.3 Joint Hindu Family Business

Definition: A form of business organization specific to India, managed by the Karta (head of the family) under Hindu Law.

Features:

Feature	Description
Membership	By birth in the family
Control	Karta manages the business
Liability	Karta has unlimited liability
Duration	Continues through generations
Coparceners	Male members up to three generations

Advantages:

Advantage	Description
Continuity	Continues through generations
Quick Decisions	Karta has full control
Family Loyalty	Members work for family benefit
Credit Facility	Good reputation in business

Disadvantages:

Disadvantage	Description
Karta Dominance	Complete power to Karta
Limited Capital	Limited to family resources
Limited Liability	Only Karta has unlimited liability

Modern Limitations	Not suitable for modern business

4.4 Company

Definition: An artificial person created by law, having separate legal existence, perpetual succession, and a common seal.

Features:

Feature	Description
Separate Legal Entity	Company is separate from its members
Limited Liability	Members' liability is limited
Perpetual Succession	Continues despite changes in membership
Common Seal	Official signature of the company
Transferable Shares	Shares can be transferred
Legal Formalities	Must be registered under Companies Act

Types of Companies:

Type	Description
Private Company	Minimum 2 members, maximum 200
Public Company	Minimum 7 members, no maximum
One Person Company	Single member
Holding Company	Controls another company
Subsidiary Company	Controlled by another company
Government Company	Government holds majority shares

Advantages:

Advantage	Description

Limited Liability	Members' personal assets safe
Perpetual Succession	Company never dies
Large Capital	Can raise large capital
Professional Management	Managed by experts
Growth Potential	Can expand easily
Transferability	Shares easily transferable

Disadvantages:

Disadvantage	Description
Legal Formalities	Heavy compliance burden
Delay in Decisions	Bureaucratic procedures
Separation of Ownership	Owners and managers different
Limited Liability	May encourage risky behavior
High Cost	Registration and compliance costs

4.5 Comparison of Business Forms

Feature	Sole Proprietorship	Partnership	Company
Members	1	2-20 (or 50)	Minimum 2/7
Liability	Unlimited	Joint/Unlimited	Limited
Legal Status	Not separate	Not separate	Separate
Continuity	Limited	Limited	Perpetual
Regulation	Minimal	Partnership Act	Companies Act
Capital	Limited	More	Most
Decision Making	Quick	Consultative	Bureaucratic
Profit Sharing	All profits	As per deed	As per shares
Secrecy	High	Moderate	Low
Risk	Highest	High	Limited

Questions

Short Answer Questions (2-5 Marks)

1. What is business? What are its characteristics?
2. What is commerce? What are its components?
3. What is industry? What are its types?
4. What is the business environment?
5. What is the difference between micro and macro environment?
6. What is a business system?
7. What are the forms of business organization?
8. What is sole proprietorship?
9. What is a partnership?
10. What is a company?
11. What is SWOT analysis?
12. What is the difference between commerce and industry?
13. What are the advantages of a company?
14. What are the disadvantages of sole proprietorship?
15. What is the PESTLE framework?

Long Answer Questions (10 Marks)

1. Explain the concept of business and its characteristics in detail.
2. Differentiate between commerce and industry with examples.
3. Explain the micro and macro environment of business.
4. Explain the different forms of business organization with their advantages and disadvantages.
5. Describe the business system with a diagram and explanation.
6. Explain the characteristics and features of a company.
7. Compare sole proprietorship, partnership, and company.

8. Explain SWOT analysis with examples.
9. What is the business environment? Explain its components.
10. Explain the PESTLE framework of macro environment.

Objective Questions (1 Mark)

1. Business is an: (a) Economic activity (b) Social activity (c) Political activity (d) Religious activity
2. Commerce deals with: (a) Production (b) Distribution (c) Extraction (d) Manufacturing
3. Industry deals with: (a) Distribution (b) Production (c) Banking (d) Insurance
4. The oldest form of business organization is: (a) Company (b) Partnership (c) Sole Proprietorship (d) Cooperative
5. Limited liability is a feature of: (a) Sole Proprietorship (b) Partnership (c) Company (d) Joint Hindu Family
6. PESTLE stands for: (a) Political, Economic, Social, Technological, Legal, Environmental (b) Political, Economic, Social, Traditional, Legal, Environmental (c) Political, Economic, Social, Technological, Legal, Ecological (d) None

QUICK REVISION

Business Environment Summary

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Business Environment
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Forms of Business Comparison

Feature	Sole Proprietorship	Partnership	Company
Members	1	2-20	2/7+
Liability	Unlimited	Joint/Unlimited	Limited
Legal Status	Not separate	Not separate	Separate
Continuity	Limited	Limited	Perpetual
Capital	Limited	More	Most
Decision Making	Quick	Consultative	Bureaucratic

Commerce vs Industry

Feature	Commerce	Industry
Nature	Distribution	Production
Deals with	Finished goods	Raw materials
Objective	Place utility	Form utility
Activity	Trade + Aids	Manufacturing

End of Unit-I Notes